

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 25-03

EUROMARKET DESIGNS, INC. v.

MSC MEDITERRANEAN SHIPPING COMPANY SA, OCEAN NETWORK EXPRESS PTE.
LTD., EVERGREEN LINE JOINT SERVICE AGREEMENT (FMC#011982), EVERGREEN
MARINE CORP. (TAIWAN) LTD., EVERGREEN MARINE (UK) LIMITED, ITALIA
MARITTIMA SpA, EVERGREEN MARINE (HONG KONG) LTD., EVERGREEN MARINE
(SINGAPORE) PTE. LTD., HMM COMPANY LIMITED, MAERSK A/S, CMA CGM S.A.,
APEX MARITIME CO, INC., CHINA UNITED TRANSPORT, INC., COSCO SHIPPING
LINES CO., LTD., AND WAN HAI LINES LTD.

**COMPLAINANT'S MEMORANDUM IN OPPOSITION TO
RESPONDENT OCEAN NETWORK EXPRESS PTE. LTD.'S MOTION
TO SEVER AND MOTION FOR A MORE DEFINITE STATEMENT**

Complainant Euromarket Designs, Inc. (“EDI”), by counsel, hereby files this memorandum in opposition to the Motion to Sever and Motion for a More Definite Statement (the “Motion”) filed in this proceeding by Respondent Ocean Network Express Pte. Ltd. (“ONE”). The Presiding Officer should deny both motions because (1) the motion to sever is baseless and has been requested by only one out of the eleven parties to this proceeding, and (2) the motion for a more definite statement is untimely, baseless and, in any event, moot.

I. The Presiding Officer Should Deny the Motion to Sever.

Rule 12 of the Federal Maritime Commission’s (the “Commission” or the “FMC”) Rules of Practice and Procedure (the “Rules”) provides that “[i]n proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice.” 46 C.F.R. § 502.12. ONE seeks to invoke Rule 21 of the Federal Rules of Civil Procedure, which governs misjoinder and nonjoinder of parties and provides that “[t]he court may also sever any claim against a party.” Fed. R. Civ. P. 21. When analyzing whether to sever a claim or a party, courts generally, as noted by ONE in its Motion, consider the standards set forth in Rule 20(a) of the Federal Rules of Civil Procedure because Rule 21 itself does not set forth any particular standard for severance. *See Pan Am. World Airways, Inc. v. U.S. D. Ct. for C.D. Cal.*, 523 F.2d 1073, 1079-80 (9th Cir. 1975). Rule 20(a)(2) reads:

Persons--as well as a vessel, cargo, or other property subject to admiralty process in rem--may be joined in one action as defendants if:

(A) any right to relief is asserted against them jointly, severally, or in the alternative with respect to or arising out of the same transaction, occurrence, or series of transactions or occurrences; and

(B) any question of law or fact common to all defendants will arise in the action.

Fed. R. Civ. P. 20(a)(2). “[T]he impulse is toward entertaining the broadest possible scope of action consistent with fairness to the parties; ***joinder of claims, parties and remedies is strongly encouraged***”. *United Mine Workers of Am. v. Gibbs*, 383 U.S. 715, 724 (1966) (emphasis added).

A. *This proceeding involves the same series of transactions or occurrences.*

The first prong of Rule 20(a), whether the relief sought arises out of the same series of transactions or occurrences, is satisfied where “there is some connection or logical relationship between the various transactions or occurrences” including a “nucleus of operative facts or law.” *Americans for Fair Pat. Use, LLC v. Sprint Nextel Corp.*, No. 2:10-CV-237-TJW, 2011 WL 98279, at *3 (E.D. Tex. Jan. 12, 2011) (citation omitted). A “‘logical relation’ between claims exists when ‘***the same aggregate of operative facts serves as the basis of both claims.***’” *Kress Stores of Puerto Rico, Inc. v. Wal-Mart Puerto Rico, Inc.*, 121 F.4th 228, 245 (1st Cir. 2024) (quoting *Iglesias v. Mut. Life Ins. Co. of N.Y.*, 156 F.3d 237, 241-42 (1st Cir. 1998)) (emphasis added); *see also id.* at 246 (“[I]t was reasonable for the district court to conclude that plaintiffs’ claims against Costco and Wal-Mart related to the same occurrence: the break-out of the COVID-19 pandemic”). For that reason, “[a]lthough portions of plaintiffs’ evidence related to breach and causation may be defendant-specific, the Supreme Court has confirmed that the ‘transaction or occurrence’ standard does not require that the exact same body of evidence be used to prove all claims for joinder to be proper.” *Id.* at 246 (surveying decisions and determining that joinder of multiple defendants is generally improper only “in cases with an unusually large number of parties or without any factual overlap between the claims”).

In this proceeding, Complainant has alleged that during the COVID-19 pandemic, ***all*** of the Service Contract Respondents (including ONE) engaged in an unjust and unreasonable practice of failing to satisfy their respective contractual ocean freight service commitments to Complainant in favor of carrying cargo from other shippers paying higher rates while simultaneously imposing

extracontractual charges to carry what little freight that the Service Contract Respondents *did* agree to carry for Complainant pursuant to Complainant's service contracts. Complainant also alleges that during the COVID-19 pandemic, *all* Respondents engaged in unjust and unreasonable practices with respect to their assessment of detention and demurrage penalties in connection with Complainant's ocean freight cargo shipments. Indeed, Complainant's Verified Complaint (the "Complaint") notes ocean freight industry experts' comments that, during the pandemic, Respondents and other ocean carriers engaged in "concerted, coordinated, and/or parallel activity", including increased industry consolidation and concentration, such that, upon information and belief, during the pandemic ocean carriers were "able to coordinate their policies, leading to instances in which most, if not all, of the unlawful practices alleged herein were being implemented across the board, eliminating the opportunity for customers to seek viable alternative accommodations or mitigate their damages." Compl. ¶¶ 62, 66. The Complaint also alleges that, as a part of their unjust and unreasonable conduct, Service Contract Respondents and other ocean carriers contemporaneously demanded extracontractual surcharges, such that shippers like Complainant had no alternative but to accept, refused to compete for ocean freight volume, *see* Compl. ¶ 70, and, critically, that the alleged unjust and unreasonable conduct by Respondents with respect to cargo space accommodations and extracontractual surcharges led Complainant and other shippers to resort to the spot market for ocean freight, the prices of which was further inflated by the alleged conduct of the Service Contract Respondents (including ONE), all refusing contract-rate space to Complainant and other shippers with service contracts at the same time. *See* Compl. ¶¶ 71–72. With regard to detention and demurrage penalties, the Complaint alleges in detail that extreme port congestion and supply chain issues during the COVID-19 pandemic permeated the entire ocean freight industry, creating issues at ports used by many of the Respondents, including

the Ports of Los Angeles and Long Beach, the Port of Oakland, the Port of New York and New Jersey, as well as many secondary ports. *See* Compl. ¶¶ 54–61. The Complaint alleges that the detention and demurrage penalties assessed by each Respondent were unjust and unreasonable, *inter alia*, “because of circumstances outside the control of Complainant and its agents and service providers, such as congestion at ports, lack of appointments to pick up or return containers, and shortage of equipment such as chassis.” Compl. ¶ 122.

These allegations demonstrate that all of Complainant’s causes of action against the Service Contract Respondents under the Shipping Act of 1984, as amended, 46 U.S.C. Sections 40101 *et seq.* (the “Shipping Act”), arise from the same nucleus of fact because the alleged actions of each Service Contract Respondent exacerbated the situation in which Complainant had to pay more for spot-market carriage of shipments that could and should have been carried by those Service Contract Respondents at the rates that Complainant and the Service Contract Respondents had bargained for. Similarly, Complainant’s claims regarding the Respondents’ unjust and unreasonable detention and demurrage penalties all arise from industry-wide congestion and slowdowns affecting ports and entire regions where multiple Respondents have operations: a common nucleus of fact regarding the issues that plagued those ports during the relevant time period and, thus, whether the causes of the delays, and associated penalties, were outside of Complainant’s control.

The context here is key. Complainant’s actions in seeking spot-market carriage for its cargo during the relevant time period did not occur in a vacuum, but instead in the context of the alleged parallel conduct by *multiple* Respondents providing (or not providing) the same services to Complainant during the same time period. The same is true for port-related congestion and

delays, which affected Complainant's shipments with *all* Respondents that assessed detention and demurrage penalties.

B. This proceeding involves many overlapping issues of law and fact.

The second prong of Rule 20(a) merely requires “at least one common question of law or fact linking all claims.” *Acevedo v. Allsup's Convenience Stores, Inc.*, 600 F.3d 516, 521 (5th Cir. 2010) (citing *Alexander v. Fulton Cnty., Ga.*, 207 F.3d 1303, 1323 (11th Cir. 2000)). ONE appears to concede this point, noting in its Motion that “[u]nsurprisingly, there will be some common questions of law regarding some of the claims.” Mot. at 7 (listing similar questions of law). ONE argues only that there are factual distinctions involved, which are not relevant to this prong in light of overlapping factual issues and, as shown above with respect to the first prong of Rule 20(a), the significant factual overlap in Complainant's allegations weighs *against* severing parties or claims. Thus, since the Complaint alleges legally identical and factually similar claims against the Service Contract Respondents regarding shortfalls in cargo space allocation and the improper imposition of extracontractual charges during the same relevant time period, as well as against all Respondents regarding improper detention and demurrage penalties due to industry-wide congestion and supply chain issues, this prong weighs heavily against ONE's Motion.

C. Denying the motion to sever will facilitate efficiency.

ONE argues, baselessly, that severing the claims against it from this proceeding will be more manageable for pleadings, discovery, and trial, and to “avoid unnecessary confusion”, Mot. at 7–8, but provides no explanation, examples, or precedent as to how severing this case into multiple separate actions could *possibly* be more efficient. Contrary to ONE's wholly unsupported assertion, there are significant efficiencies in proceeding against all Respondents in a single action. Complainant and Respondents will be able to (1) negotiate a joint discovery plan to minimize duplicative discovery and consolidate testimony, where possible, (2) present consolidated

discovery disputes (if any arise) to the Presiding Officer instead of filing scattershot and potentially duplicative motions raising duplicative issues, and (3) ensure that the timing of discovery and merits briefing with respect to *all* of Complainant's claims remains consistent, in order to permit the Presiding Officer to make consistent, consolidated rulings on similar legal issues and common or similar facts, including in the Initial Decision in this proceeding.

Perhaps most telling is the fact that ONE is the *only one* of the eleven parties to this proceeding that has requested such a severance, suggesting that the other Respondents, like Complainant, believe that this case can and should proceed as filed in an expedient and efficient manner. Despite the fact that ONE is the only party seeking severance, the Motion nonetheless asks the Presiding Officer to sever *all* of the cases such that they *each* proceed individually, unilaterally demanding an extreme action that would ultimately harm *all* parties and unduly strain the Commission's judicial resources by forcing it to adjudicate ten separate litigations—all with substantially identical legal issues and significantly overlapping facts—in a piecemeal and potentially inconsistent fashion.

D. No prejudice will result from denying the motion to sever.

ONE's false cry that it will be "prejudiced in time and cost by having to review, investigate, and respond to claims that are wholly unrelated" to the claims against it falls flat. Mot. at 8. The entirety of ONE's argument on this point relates to having to answer allegations in the Complaint that it contends are unrelated to ONE, but the remedy to that issue is simple and does not require severance: ONE can simply deny those allegations that it contends are outside of its knowledge.

ONE's next arguments—that it will be prejudiced by having to coordinate a discovery schedule with other parties—lacks merit, and actually reinforces the *efficiency* of a joint discovery process. Mot. at 8–9. Such a process will allow *all* parties to follow a joint plan and will encourage

all parties to streamline discovery to maximize efficiency and meet the deadlines to be set by the Presiding Officer in this proceeding.

The mere fact that Respondents are competitors also does not demonstrate any possible prejudice requiring severance. (If that were the case, virtually every litigation in the United States alleging, for example, horizontal antitrust conspiracies would entail countless individual actions instead of centralized, streamlined class action and multi-district litigations.) The Commission and its Administrative Law Judges are no strangers to presiding over Shipping Act litigations involving multiple competitor defendants, including many of the same ocean carriers named as Respondents in this proceeding. *See, e.g., Intermodal Motor Carriers Conf. v. Ocean Carrier Equip. Mgmt. Ass’n, Inc.*, FMC Dkt. No. 20-14 (An FMC proceeding in which all but two of the Respondents here were named respondents).

ONE’s Motion recognizes, as it must, that the parties here can enter into a confidentiality stipulation to be entered by the Presiding Officer as a protective order governing discovery in this proceeding, Mot. at 9, as many of the Respondents in this proceeding—including ONE—have done in other proceedings before the Commission. Indeed, in the *Intermodal* litigation before the FMC, ONE affirmatively joined with the complainants and other respondents in joint motions for entry of stipulations and orders of confidentiality governing discovery in that proceeding. *See Intermodal Motor Carriers Conf.*, FMC Dkt. No. 20-14, Dkt. Nos. 39 & 46. ONE nonetheless cryptically claims that the existence of a protective order in this proceeding would not permit ONE’s outside counsel to “effectively evaluate the discovery”, Mot. at 9, but offers nothing to support that contention or distinguish its own prior support of multilateral protective orders in *Intermodal*. Here, as in other past and pending litigations before the Commission, the parties can easily negotiate a protective order providing multiple levels of confidentiality designation and

protection, including a level that would permit outside counsel access to any discovery that might be deemed competitively sensitive by Complainant or another Respondent.

ONE also argues that prejudice will result from inefficiencies caused by consolidated deposition testimony, but the opposite is true. ONE argues that each named Respondent would need to sit in on all depositions, Mot. at 9, but that would be no less true if the Presiding Officer were to sever the claims in this proceeding into ten separate actions. Severance would not operate to lessen any burden on (or any prejudice to) ONE but instead would simply multiply the burden on Complainant—and, more specifically, Complainant’s logistics employees—tenfold. The Motion thus can be viewed as an attempt to punish Complainant procedurally for bringing its Shipping Act claims, baselessly multiplying what otherwise can and should be an efficient proceeding, forcing each potential deponent from Complainant to sit for up to ten separate depositions, instead of consolidating and streamlining testimony about the same issues during the same relevant time period. Here again, the fact that no other Respondent has requested severance from this proceeding underscores the baselessness of ONE’s claims regarding additional costs due to the presence of multiple Respondents.

E. Many of Complainant’s claims are subject to common witnesses and proof.

ONE also claims that “there would not be any evidence overlapping from one claim to another”, Mot. at 9, but this flatly ignores that issues regarding port congestion, global supply chain issues, and Complainant’s own internal actions and determinations regarding product purchasing, bookings, allocation, supply chain management, and the use of spot market freight and/or third-party vendors all have significant factual overlap and in many instances involve the very same documents and the very same witnesses, even if individual claims tied to specific port pairs or shipments ultimately relate to fewer than all Respondents.

II. The Presiding Officer Should Deny the Motion for a More Definite Statement.

ONE's motion for a more definite statement is untimely, baseless, and moot, and should be denied. First, as a threshold matter, Rule 67 of the Rules, which governs such motions, provides that such a motion must be brought within 15 days of service of the pleading (here, the Complaint). *See* 46 C.F.R. § 502.67. The Secretary of the Commission issued a Notice of Filing of Complaint and Assignment in this proceeding on January 8, 2025—the date on which the Complaint was served—making the deadline for such a motion January 23, 2025 (and the deadline for its responsive pleading February 3, 2025). *See Euromarket Designs, Inc.*, FMC Dkt. No. 25-03, Dkt. No. 6. ONE has missed both deadlines, waiting until February 3, 2025 to file the instant Motion and, to date, not filing any responsive pleading, at all.

Second, ONE's arguments that Complainant has improperly failed to make allegations on an individualized, shipment-by-shipment basis also misunderstands the nature, scope, and extent of Complainant's claims regarding ONE's shortfalls on its cargo space service commitments. The Complaint does not merely allege specific refusals or failures to accept individual containers for carriage, but instead an unjust and unreasonable practice by ONE over an extended period of time of systematically failing to provide cargo space for Complainant's shipments in favor of the cargo of other shippers willing to pay higher prices. Moreover, the Complaint does, in fact, already allege numerous instances of mishandled bookings, including, *inter alia*, failure to release cargo against an agreed plan, issues with ONE managing booking logistics, conversations as of certain specific dates regarding blank sailings, cancelled bookings, and close booking cutoffs. *See* Compl. ¶¶ 88–93. ONE's reliance on the August 27, 2024 decision of the presiding officer in *Giti Tire (USA) LTD. v. Flexport Int'l LLC*, FMC Dkt. No. 24-22, is also misplaced. There, in response to a motion to dismiss, the presiding officer ruled that the complainant had failed to allege facts to support many elements in its complaint, including (1) specific provisions within NVOCC Service

Arrangements or NVOCC Negotiated Rate Agreements, and their effective dates, which served as the basis for the claims alleged, (2) specificity as to the genesis of certain invoices of detention penalties, (3) what information listed in 46 U.S.C § 44104(d)(2) was missing from complainant's invoices , and (4) the elements of a claim challenging an improper detention and demurrage penalty—none of which called for an exhaustive listing of particular container numbers in the operative pleading. While the presiding officer there invited an amended complaint containing invoice-level detail where necessary, ONE cites no case stating that such granular detail is required to be pled, especially in the context of the extensive, detailed allegations already contained in Complainant's Complaint, and, unlike in *Giti Tire*, ONE has not filed any motion to dismiss the Complaint, in whole or in part. It is also once again telling here that none of the other nine Respondents in this proceeding has filed such a motion.

Third, ONE claims—oddly—that the Complaint contains only “unspecified” allegations of detention and demurrage damages against ONE, Mot. at 12, but Paragraphs 133 through 135 of the Complaint, in a subsection titled “**ONE**”, specifically allege several instances of detention and demurrage that were improperly assessed by ONE and, in Paragraph 136, the Complaint specifically alleges that “ONE’s wrongful imposition of the Charges directly injured Complainant, in amounts up to or exceeding approximately \$850,000 in improper demurrage Charges and up to or exceeding approximately \$770,000 in improper detention Charges.” Compl. ¶ 136. The Complaint thus already provides what ONE is requesting—i.e., the “specific sum of damages that the Complainant is alleged to have incurred as a result of ONE’s alleged actions”, Mot. at 12, —rendering this aspect of the Motion moot.

Dated: February 10, 2025

Respectfully submitted,



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CERTIFICATE OF SERVICE

I hereby certify that a copy of the foregoing was served upon the following counsel who have appeared thus far in this proceeding via email transmission this 10th day of February, 2025.

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